

strikes. We made an exception in 2009 because, as we discussed earlier, the out-of-the-money options were very overpriced, and we hedged them with long in-the-money positions. I expected the out-of-the-money positions to roll off valueless, and they did.

You have picked a lot of traders in your career. What do you look for when you hire a trader?

I want market makers, people who know that anything can happen. The type of guy I don't want is an analyst who has never traded—the type of person who does a calculation on a computer, figures out where a market should be, puts on a big trade, gets caught up in it, and doesn't stop out. And the market is always wrong; he's not. Market makers know that the market is always right. You are wrong if you are losing money for any reason at all. Market makers have that drilled into their head. They know value is irrelevant in times of market stress; it's all about positions. They understand that markets will trade against positions. They get it. It is built into their books. It colors the way they think. I look for the type of guy in London who gets up at seven o'clock on Sunday morning when his kids are still in bed, and logs onto a poker site so that he can pick off the U.S. drunks coming home on Saturday night. I hired a guy like that. He usually clears 5 or 10 grand every Sunday morning before breakfast taking out the drunks playing poker because they're not very good at it, but their confidence has gone up a lot. That's the type of guy you want—someone who understands an edge. Analysts, on the other hand, don't think about anything else other than how smart they are.

But, of course, on the systematic trend side, you would want analysts.

That's a completely different world. I am talking about the human discretionary trading. I am talking about a different type of analyst—market macro analysts who do their research and come up with a theory.

I can give a great example to illustrate your point.

I mention a particular hedge fund manager I know who I think is brilliant and who was early and right in calling major macro themes, yet did poorly trading off his correct ideas.